SHAWN CANTY | LEAD DATA ANALYST

Telco Churn Analysis

Behavioral Segmentation & Retention Strategy

The Business Problem

Stopping the bleed in month-to-month subscriptions.

The Situation: Month-to-month subscription cancellations have spiked to unacceptable levels.

The Constraint: The marketing team is operating with a strictly limited customer retention budget.

The Objective: Leadership lacks data-driven guidance on which customer segments to target and which offers will change their behavior.

The Strategic Approach

Prioritizing controllable behavioral levers over static demographics.

The Methodology: Conducted an exploratory cohort-based analysis of over 7,000 customer records.

The Focus: Excluded static demographics (age, gender) to isolate actionable business levers (contract types, service add-ons, and billing methods).

The Validation: Compared each segmented cohort to the 26.5% global churn baseline to pinpoint exact sources of revenue leakage.

The Revenue Leak

Isolating the exact behaviors driving cancellations.

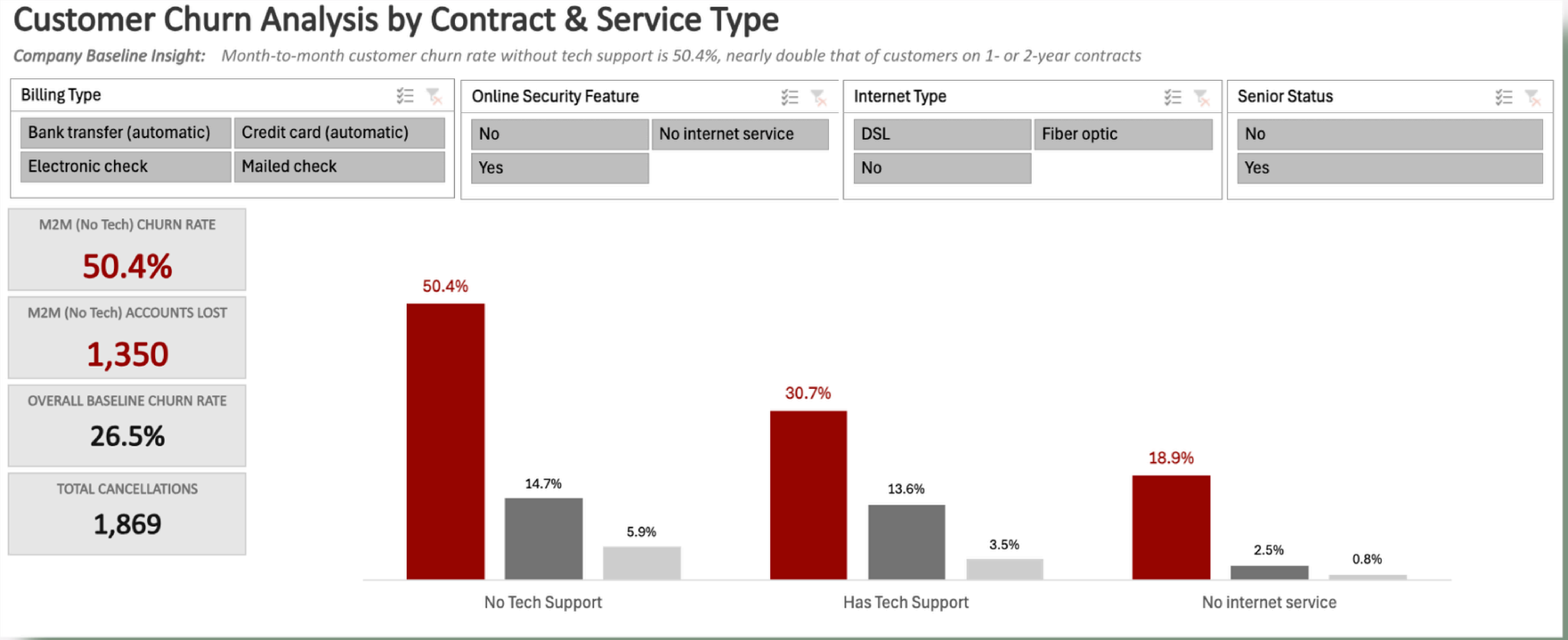
The Baseline: The organization's global churn rate is currently 26.5%.

The Critical Vulnerability: Month-to-month customers without tech support are churning at **50.4%** (representing 1,350 lost accounts).

The Compounding Risk: Within this vulnerable month-to-month segment, churn rises further for those who pay by electronic check (**58.4%**) or use fiber optic internet (**57.5%**).

The Executive Dashboard

An interactive tool designed to dynamically filter and isolate high-risk cohorts.



The Strategic Recommendation

Deploying the retention budget to maximize ROI.

The Target: Cease blanket demographic marketing. Deploy the retention budget exclusively to the high-risk month-to-month segment.

The Offer: Bundle Free Tech Support and Online Security as a financial incentive to migrate these users into 1-Year or 2-Year contracts.

The Mandate: Make the offer contingent on enrolling in Auto-Pay to eliminate the 58.4% churn risk linked to electronic check payments.

Immediate Next Steps

Cross-functional alignment for Q3 rollout.

Marketing & Creative: Design and A/B test the messaging for the "Free Tech Support + Online Security" bundle, targeting the month-to-month cohort.

IT & Billing Operations: Configure the payment gateway to trigger the promotional discount only when Auto-Pay (via credit card or ACH) is authenticated.

Data & Analytics: Establish 30-, 60-, and 90-day tracking cohorts in Excel to measure conversion rates and validate churn reduction.

Appendix

METHODOLOGY & DATA DICTIONARY

Data Integrity & Methodology

Processing parameters for the 7,000+ customer dataset.

Baseline Establishment: The 26.5% global churn baseline was calculated across all 7,043 unique primary keys (CustomerID) to ensure a significant control group.

Null Handling: Brand-new accounts with a Tenure of 0 and blank financial values were standardized to $0.00 to preserve acquisition data and avoid breaking pivot calculations.

Scope Limitations: Predictive financial forecasting was excluded to maintain focus on controllable behavioral retention levers.